within the fold of the cooperative movement, and their activities be linked to the banking system on an agency basis or through development of partnership on the lines of the practice prevalent in Germany.

Indigenous Bankers: The Committee opined that while the rates of interest were high they did not compare unfavourably with those charged by jointstock banks and their sphere of influence was wider than that of the banks. The Committee recommended that the Imperial Bank should use indigenous banks as agents for collection of cheques and bills in the same manner as it used joint-stock banks. It recommended that the Imperial Bank should grant indigenous banks the same facilities for remittance of funds as applicable for all joint-stock banks and discount the bills of indigenous banks 'more freely than at present.'[7]

Cooperative Societies: The movement was largely confined to the rural areas and was predominantly of the credit type in spite of the removal of limitations imposed by the original Act with regard to non-credit activities. This was only to be expected because not only was credit the most insistent need of the Indian cultivator crushed under the burden of perpetual debt and usury, it was also the simplest example of cooperative endeavour that could be introduced among a largely illiterate rural population. The Committee identified numerous defects in the functioning of the cooperative movement largely stemming from inefficiencies in the system. The foreign banking experts felt that the cooperative movement, in spite of imperfections, deserved every possible assistance, because there was no better instrument for improving the lot of the agriculturist. They believed that a strong appeal to the banking interests of the country to assist the movement was therefore not out of place.[8] The Committee suggested improvement of their organization and methods of business, training of staff, reduction of interest rates, provision of State-aid, and linking up with joint-stock banking.

Land Mortgage Banks: The Committee felt that the solution to the problem of long-term credit lay largely in the establishment of more land mortgage banks. It emphasized the need for organizing a network of land mortgage banks under the cooperative system.

State Loans: Provincial governments were asked to take steps to minimize delays in processing of loan applications and to post honest officers so that the problem of illegal gratification was minimized. While loans could be given in emergencies there was to be no laxity in recovery of